
National Summary

Overall Economic Activity

Economic activity grew slightly in three Districts, while the number of Districts that reported flat or declining activity rose from five in the prior period to nine in the current period. Employment levels were steady overall, though there were isolated reports that firms filled only necessary positions, reduced hours and shifts, or lowered overall employment levels through attrition. Still, reports of layoffs remained rare. On balance, wage growth was modest, while increases in nonlabor input costs and selling prices ranged from slight to moderate. Consumer spending ticked down in most Districts, having generally held steady during the prior reporting period. Auto sales continued to vary by District, with some noting increases in sales and others reporting slowing sales because of elevated interest rates and high vehicle prices. Manufacturing activity declined in most Districts, and two Districts noted that these declines were part of ongoing contractions in the sector. Residential construction and real estate activity were mixed, though most Districts' reports indicated softer home sales. Likewise, reports on commercial construction and real estate activity were mixed. District contacts generally expected economic activity to remain stable or to improve somewhat in the coming months, though contacts in three Districts anticipated slight declines.

Labor Markets

Employment levels were generally flat to up slightly in recent weeks. Five Districts saw slight or modest increases in overall headcounts, but a few Districts reported that firms reduced shifts and hours, left advertised positions unfilled, or reduced headcounts through attrition—though accounts of layoffs remained rare. Employers were more selective with their hires and less likely to expand their workforces, citing concerns about demand and an uncertain economic outlook. Accordingly, candidates faced increasing difficulties and longer times to secure a job. As competition for workers has eased and staff turnover has fallen, firms felt less pressure to increase wages and salaries. On balance, wages rose at a modest pace, in line with the slowing trend described in recent reports. Skilled tradespeople and other workers with specialized skills remained in short supply and continued to see stronger wage increases, as did those in unions.

Note: This report was prepared at the Federal Reserve Bank of Cleveland based on information collected on or before August 26, 2024. This document summarizes comments received from contacts outside the Federal Reserve System and is not a commentary on the views of Federal Reserve officials.

Prices

On balance, prices increased modestly in the most recent reporting period. However, three Districts reported only slight increases in selling prices. Nonlabor input cost increases were largely described as modest to moderate and as generally easing, though one District described input cost increases as ticking up. A number of Districts observed that both freight and insurance costs continued to increase. By contrast, some Districts noted that cost pressures moderated for food, lumber, and concrete. Looking ahead, contacts generally expected price and cost pressures to stabilize or ease further in the coming months.

Highlights by Federal Reserve District

Boston

Economic activity increased modestly, but results varied widely. Residential real estate led recent activity, with strong increases in single-family home sales. Consumers' increased budget consciousness showed up in slightly softer retail and restaurant sales, and retailers perceived pressure to lower their prices. Job creation slowed. The outlook was mixed between optimism and increased caution.

New York

On balance, regional economic activity remained flat. Labor market conditions continued to moderate, with ongoing cooling in labor demand and increased worker availability. Consumer spending was unchanged. Housing markets remained solid, with home prices edging up. Selling price increases remained modest.

Philadelphia

Business activity declined slightly in the current Beige Book period after rising slightly last period. Employment appeared to decline slightly, while consumer spending fell modestly. Nonmanufacturing activity held steady. Wage growth continued at a modest pace, as did reported rises in input costs and prices. Expectations for future growth remained slightly positive overall—growing more widespread for manufacturers but waning for others.

Cleveland

District business activity declined slightly in recent weeks, though contacts expected activity to increase slightly in the near term. Demand for manufactured goods softened further, and consumer spending declined moderately. Employment levels were stable to slightly up. On balance, wages and nonlabor costs increased modestly, while selling prices grew slightly.